

Ethereum's Post-Merge Supply Dynamics & Monetary Premium

Current Supply 121,603,980 ETH Base Gas (Avg) 0.1 Gwei ETH Price \$2,243 USD

ETH Supply Growing at +0.83%/Year with Only 192 ETH Burned in 7 Days



Issued

+19,638.29

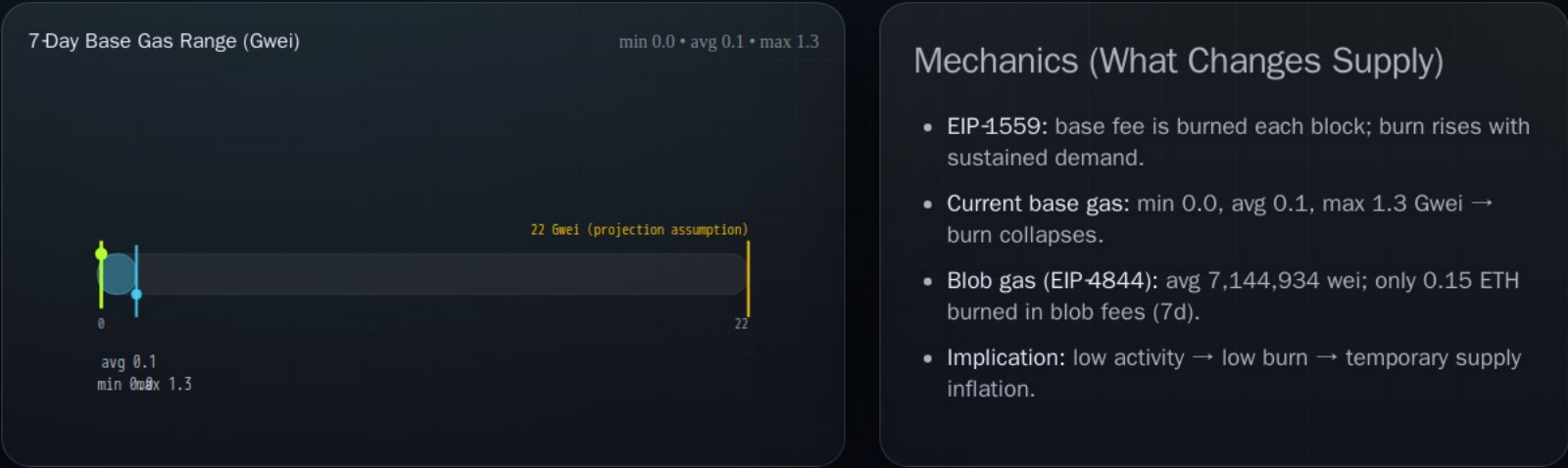
Burned

-192.39

■ Issuance to validators ■ EIP-1559 base fee burn

- Current supply: 121,603,980 ETH
- Net change (7d): +19,445.89 ETH
- Issued (7d): 19,638.29 ETH
- Burned (7d): 192.39 ETH
- Burn / issuance: ~1% (0.01x)

Base Gas at Historic Lows: 0.1 Gwei Average Suppresses Fee Burn



Mechanics (What Changes Supply)

- EIP-1559: base fee is burned each block; burn rises with sustained demand.
- Current base gas: min 0.0, avg 0.1, max 1.3 Gwei → burn collapses.
- Blob gas (EIP-4844): avg 7,144,934 wei; only 0.15 ETH burned in blob fees (7d).
- Implication: low activity → low burn → temporary supply inflation.

Observed 7-day range Average 22 Gwei projection reference

DeFi and ETH Transfers Account for ~85% of Weekly Fee Burn



38.9M ETH Staked at 2.7% Issuance Rewards with Minimal Tips and MEV

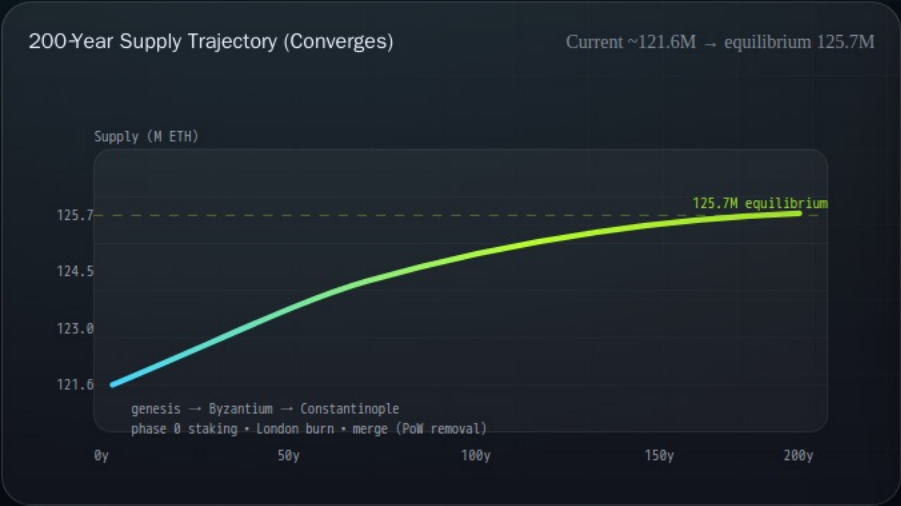


Lock-Up & Issuance Context

- Staked: 38.9M ETH (~32% of supply)
- Scarcity engine: 9.1M ETH locked in staking contracts
- Average time span: 10.7 years
- PoS issuance: ~2,800 ETH/day

PROJECTION • 200 YEARS

Long-Term Equilibrium Projected at 125.7M ETH with 1,037K ETH/Year Issuance-Burn Balance



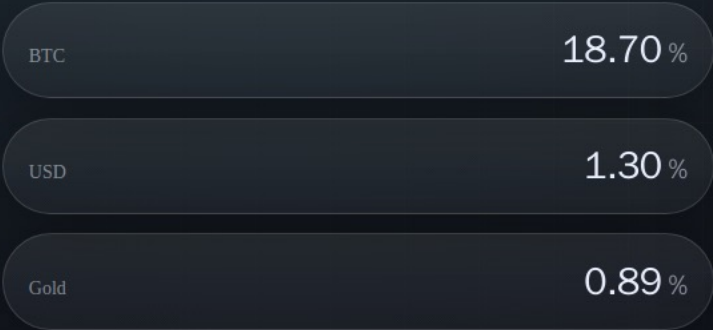
Model Parameters (From Brief)

- Assumes: 39M ETH staked
- Assumes: 22 Gwei average base gas
- At equilibrium: issuance & burn balance ~1,037K ETH/year
- Daily mechanics: ~2.8K ETH/day PoS issuance vs ~2.2K ETH/day burn (normalized assumptions)
- Rates: stakers +2.7%/year; non-stakers effective burn 1.2%/year

MONETARY PREMIUM • SECURITY

ETH at 18.7% of Bitcoin's Market Cap, Securing \$272B in Native Value

Flipping Progress



Ratio = ETH market cap / competing asset market cap.

Total Value Secured (USD)

Total ~ \$307.6B



- ETH (native): \$272.76B
 - ERC20s: \$22.21B
 - NFTs: \$12.66B
- Top ERC20s: Dai \$4.41B • SHIB \$3.51B
Top NFT: CryptoPunks \$2.13B

CONCLUSION

Key Takeaways: Ultra Sound Money Thesis Intact but Gas Activity Is the Critical Variable

- Today's reality: ETH is mildly inflationary at +0.83%/yr because base gas averages 0.1 Gwei.
- Mechanism works: EIP-1559 burn is demand-sensitive; at current activity, burns offset only ~1% of issuance (0.01x).
- Scarcity engine: 38.9M ETH staked (~32% of supply) and 9.1M ETH locked with ~10.7 year average time span.
- Long-run anchor: 200 year model converges to 125.7M ETH equilibrium under 39M staked + 22 Gwei base gas assumption.
- Monetary premium: ETH is 18.7% of BTC's market cap and secures ~\$307.6B in total value (ETH + ERC20s + NFTs).

Honest headwind: low on-chain activity suppresses burn; ultra soundness is cyclical.

When demand returns, ETH's supply curve tightens.